Japan Cosmetics & Skincare Market Entry Audit

A go / conditional-go / no-go verdict for a foreign beauty brand, built on Japanese government statistics (Layer 1) plus structured consumer-voice evidence (Layer 2).

Entrant profile (hypothetical)	Indie-to-mid-size overseas skincare brand; ingredient-led positioning; mid price band (JPY 3,000–6,000 hero SKU); no existing Japan entity or distributor
Question	Should this brand enter Japan — and if so, in which sub-category, price band and channel?
Evidence base	Layer 1: METI Production Dynamics Statistics & Current Survey of Commerce, MOF Trade Statistics, MIC Family Income and Expenditure Survey, JTA Inbound Consumption Trend Survey. Layer 2: manual samples of @cosme, Rakuten Ichiba and Amazon.co.jp public pages.
Report date	12 November 2026 · All web sources accessed 12 November 2026 unless otherwise stated
Currency	JPY primary. Indicative USD conversions at JPY 160 = USD 1 (reference rate JPY 159.7/USD, 11 Nov 2026).

Sample report. Prepared with a hypothetical entrant profile for demonstration; all market figures are from the real public sources cited. This document is a market research sample, not an offer of services and not legal, regulatory, tax or investment advice.

How to read this report: **Layer 1** pages (blue) use official statistics only — every figure carries its source and its basis (e.g., factory shipment value is *not* retail market size). **Layer 2** (amber, §6) uses sampled consumer-platform data; it is never used to size the market. The verdict in §1 weighs both layers, and §8 lists everything that could *not* be confirmed.

1 · Verdict

CONDITIONAL GO

Enter Japan — but only as an **e-commerce-first, ingredient-led skincare play in the JPY 3,000–6,000 band**, with drugstore expansion as phase two. Do **not** enter as a department-store prestige brand, and do not lead with colour cosmetics.

Why (three reasons)

- **The market is large and its main mass channel is still growing.** Domestic factory shipments were JPY 1,302.4 bn (≈USD 8.1 bn) in 2023, and drugstores — the volume channel for skincare — grew total sales 6.9% in 2024 to JPY 8,919.9 bn, with beauty care the second-largest growth contributor (METI). [Layer 1]
- **Foreign brands are demonstrably winning share right now.** Cosmetics imports rose 17.7% in 2024; South Korea is the No. 1 origin (JPY 134.3 bn, +40.0%), and Korean mid-price brands chart inside Rakuten's daily skincare top 10. [Layer 1 + Layer 2]
- **Consumer support concentrates where an indie entrant can compete:** ingredient-led products (ceramide, vitamin C, retinol, PDRN) at JPY 1,000–6,000 dominate sampled EC rankings, while department-store prestige is locked up by domestic groups and SK-II. [Layer 2]

Conditions attached to the "go"

- Hero SKU: one ingredient-differentiated skincare item (serum, lotion or cream) at JPY 3,000–6,000 — not a full line launch.
- Channel order: official EC stores (own site / Rakuten / Amazon) first; drugstore and variety-store listings only after review volume is established.
- Claims discipline: any "medicated" (quasi-drug) positioning requires the regulatory route described in §8 — budget and timeline for it must be confirmed with qualified Japanese counsel before launch. This report does not provide that advice.

Single biggest risk

Cold-start discovery. Shiseido-group brands alone hold four of the top seven lotion positions in the sampled review rankings, and incumbents carry 10,000–45,000 reviews per SKU. A foreign entrant with zero Japanese reviews must buy its way to visibility: entry economics hinge on the cost of building a review base, not on market size, which is sufficient.

> Framing warning: production is still ≈26% below its 2019 peak (§2). This is a share-taking game in a restructuring market — imports and EC are growing faster than domestic production — not a rising-tide game.

2 · Market size & structure [Layer 1 — official statistics]

Japan's cosmetics supply base, measured at the factory gate, peaked just before COVID and has not fully recovered. That single fact disciplines every claim in this report: figures below are **factory shipment values** (domestic production shipped, including for export), which are *not* the

same as retail market size.

Indicator	2019	2023	Note
Factory shipments, all cosmetics (JPY bn)	1,761.1	1,302.4	2023 = +2.9% YoY; ≈73.9% of the 2019 peak
— Skin care products (share)	—	43.6%	Largest category; the entrant's arena
— Hair care products (share)	—	28.0%	
— Makeup products (share)	—	20.7%	
— Special-purpose / fragrance	—	7.0% / 0.7%	

Source: METI Production Dynamics Statistics, as published by the Japan Cosmetic Industry Association (JCIA) and METI committee material. Accessed 12 Nov 2026. JCIA is an industry association republishing government statistics; where JCIA's 2025 monthly releases contained errors (acknowledged by JCIA), annual figures above were cross-checked against METI material (2023: JPY 1,302.5 bn — a 0.1 bn rounding difference).

Trade: the foreign-brand footprint is expanding

Flow (JPY bn, customs value)	2014	2021	2023	2024
Exports	152.3	790.6	608.3	520.1
Imports	217.1	—	377.1	446.1

Exports surged on Asian (especially China) demand to a 2021 peak and have since fallen for three consecutive years. Imports tell the opposite story: after dipping during COVID they reached a record trajectory, rising **17.7% in 2024** on the Japan Imported Cosmetics Association's scope (JPY 443.8 bn, excluding toothpaste and soap). South Korea became the largest origin in 2022 and extended its lead in 2024 (JPY 134.3 bn, 30.3% share, +40.0%); France is second (JPY 108.3 bn, 24.4%).

Reading for the entrant: domestic production below peak + record imports = shelf space is being reallocated toward foreign brands. But note the composition: the import surge is led by an adjacent, culturally proximate competitor set (K-beauty) with EC-native playbooks — see §§6–7.

Source: Ministry of Finance, Trade Statistics of Japan (cosmetics aggregate, HS Ch. 33 basis), compiled by JCIA; 2024 detail by origin/category from the Japan Imported Cosmetics Association. Imports and domestic shipments are separate series and are never added together in this report (different bases; adding them would double-count). Accessed 12 Nov 2026.

3 · Category momentum [Layer 1 — official statistics]

Skincare is the structural centre of the Japanese market: **43.6% of factory shipment value in 2023**, nearly double the makeup category. For an entrant, the momentum question is which categories are pulling in foreign supply fastest. The import data answers that clearly:

Import category (2024, association scope)	JPY bn	YoY	Signal
Base makeup & skin care	200.6	+20.1 %	Largest import category — and still growing at 20%
Colour makeup	73.0	+29.8 %	Fastest growth, but trend-driven and K-beauty-dominated
Fragrance	47.5	+21.1 %	Growth from a small base; domestic shipment share only 0.7%
Hair care	59.8	+0.7%	Flat — foreign supply is not breaking through here

Source: Japan Imported Cosmetics Association, FY2024 import results (MOF Trade Statistics basis). Accessed 12 Nov 2026.

What this means by sub-category

- **Skin care (lotions, serums, creams):** the largest domestic category *and* the largest, fastest-growing import category. Foreign acceptance is proven at scale. This is the entry arena.
- **Colour makeup:** imports growing fastest (+29.8%), but the segment is shade- and trend-sensitive, with short product cycles and the strongest K-beauty competition. Suitable as a second wave, not a beachhead.
- **Hair care:** large domestically (28.0% of shipments) but imports are flat (+0.7%) — domestic incumbents (salon and mass) hold this category. Avoid as an entry point.
- **Fragrance:** structurally tiny in Japan (0.7% of shipments). Import growth is real but from a very small base; not a beachhead for a skincare brand.

> **Data limit, stated plainly:** fine-item production detail (individual series for lotions, essences, sheet masks, sunscreens) exists in the Production Dynamics Statistics on e-Stat, but file-level extraction was not completed in this production run. No fine-item trend is asserted in this report; the category claims above rest on the broad METI categories and the import category split only. The appendix (sheet "category") records this as NOT OBTAINED rather than filling the gap.

Seasonality note: Japanese skincare demand has well-known seasonal peaks (UV care in late spring, moisturising in winter). Monthly production series would quantify this; pending the fine-item extraction above, no seasonal figure is quoted.

4 · Consumer wallet [Layer 1 — official statistics, with limits stated]

The demand side of the audit uses the Family Income and Expenditure Survey (FIES, Ministry of Internal Affairs and Communications) — Japan's benchmark household survey of roughly 9,000 households. Context first: average monthly consumption expenditure for two-or-more-person

households was **JPY 300,243 in 2024**, up 2.1% in nominal terms but **down 1.1% in real terms**. Households are spending more yen and getting slightly less — a price-sensitive environment in which mid-price value claims travel well and pure prestige pricing faces a headwind outside the department-store niche.

What FIES can and cannot say about cosmetics

- FIES itemises cosmetics at a useful granularity (2025 classification, codes 909–915): cosmetic cream (909), skin lotion (910), foundation (911), lipstick (912), other cosmetics (913), emulsion (914) — published as annual per-household expenditure in the detailed tables on e-Stat.
- **Not obtained in this run:** the item-level time series itself. Extracting and reconciling it across the 2025 item-classification revision is the first update task in a paid engagement. This report therefore makes **no claim** about the level or trend of per-household cosmetics spending, and the appendix records the gap explicitly.

Observed wallet behaviour (from Layer 2 price evidence — not a spending statistic)

The sampled EC rankings (§6) show where money visibly moves online: lotion bestsellers cluster at **JPY 350–2,200** on Amazon.co.jp (mass staples, refills, large-volume formats), while review-led discovery on @cosme and Rakuten supports a second, higher band of **JPY 3,000–6,600** for ingredient-led and brand-led products, and a thin prestige tier above JPY 12,000. These are observed listed prices in samples — not expenditure data — and are used only to locate the entrant's price band, never to size demand.

Inbound demand as a secondary wallet

The Japan Tourism Agency's Inbound Consumption Trend Survey tracks a dedicated "cosmetics & perfumes" shopping item by nationality, and total inbound travel consumption remains at record levels (JPY 2,207.6 bn in Jul–Sep 2026 alone, +3.2% YoY, preliminary). Category-level cosmetics values were not extracted in this run; inbound is treated as upside context (tax-free and department-store channels), not as a pillar of the entry case.

Sources: MIC, FIES 2024 annual summary; FIES item classification (2025 revision) on e-Stat; Japan Tourism Agency, Inbound Consumption Trend Survey, Q3 2026 flash. Accessed 12 Nov 2026.

5 · Channels [Layer 1 — official statistics + stated limits]

Japan's cosmetics distribution runs through four practical routes for a foreign entrant. The official data describes one of them — drugstores — with unusual precision, and it happens to be the channel that matters most for mid-price skincare.

Drugstore channel (METI, Current Survey of Commerce)	Value	YoY
Total drugstore sales, all categories (2024)	JPY 8,919.9 bn	+6.9%
Beauty care (cosmetics & sundries), Jan–Jun 2024	JPY 547.2 bn	—

Beauty care, single month Sep 2024	JPY 96.0 bn	+12.6%
Store count trend (Sep 2024: 19,525 stores)	—	+3.7%

METI's 2024 annual review identifies beauty care as the **second-largest contributor** to drugstore sales growth (after food), explicitly crediting recovering inbound demand alongside domestic sales. Drugstores are expanding floor space and store count — the opposite of the department-store channel's long consolidation.

Channel-by-channel read for the entrant

- **Drugstores (Welcia, Matsumoto Kiyoshi, Tsuruha, Sundrug, Cosmos, etc.):** the volume engine for JPY 1,000–6,000 skincare. Listing typically requires a Japanese distributor or subsidiary and proven EC/review traction first — hence phase two, not phase one.
- **E-commerce (own store, Rakuten Ichiba, Amazon.co.jp, @cosme Shopping, Qoo10 for K-beauty-style plays):** the only channel a foreign indie can open immediately, and where the sampled evidence (§6) shows foreign mid-price brands already charting. EC is the beachhead.
- **Department stores / prestige retail:** supports the JPY 12,000+ tier visible in the samples (SK-II, DECORTÉ) but requires counter economics, brand equity and local organisation an indie entrant does not have. Excluded from the recommended entry plan.
- **Variety stores (Loft, Plaza, @cosme stores) and tax-free/inbound retail:** discovery-oriented, useful amplifiers once EC proof exists; inbound demand is a genuine tailwind (§4) but volatile by nationality mix.

> **Stated limit:** no official Japanese statistical series isolating "cosmetics × e-commerce" sales was confirmed in the design or production phase. EC claims in this report therefore rest on Layer 2 platform samples (§6) and are labelled as such wherever used. Any report that quotes a precise Japanese cosmetics EC market size from public sources should be asked for its basis.

Source: METI, Current Survey of Commerce — 2024 annual review, H1 2024 review, and September 2024 monthly flash. Accessed 12 Nov 2026.

6 · Consumer voice [Layer 2 — sampled platform data]

> **Sample notice (applies to this whole page):** figures below come from manual samples of public ranking/review pages on @cosme, Rakuten Ichiba and Amazon.co.jp, accessed 12 November 2026 (sample frames and dates per table; full raw records in the data appendix, sheet "consumer_voice"). Platform users are **not representative of all Japanese consumers**. Nothing on this page is used to size the market.

What Japanese reviewers reward (@cosme lotion review ranking; aggregation 5 Aug – 4 Nov 2026)

#	Product	Rating /7	Reviews	Price (JPY)

1	IPSA — The Time R Aqua e	5.2	3,660	5,500
2	SK-II — Facial Treatment Essence	5.6	40,386	12,650–29,150
4	ELIXIR — Brightening Lotion (moist)	5.5	2,611	3,300
7	d program — Moist Care Lotion EX	5.5	5,763	2,860–3,300
8	Curel — Deep Moisture Spray	5.6	9,621	990–2,750
9	DECORTÉ — Liposome Advanced Repair Serum	5.8	18,671	8,800–17,600

Shiseido-group brands (IPSA, ELIXIR ×2, d program) hold **four of the top seven** positions. The pattern of winners: long-tenured franchises, sensitive-skin and brightening positionings, and review bases in the thousands-to-tens-of-thousands. An ingredient-newcomer also appears in the top 10 — a PDRN hyaluronic serum/mist line with 13,588 reviews on its serum — showing that ingredient-led novelty can accumulate review mass quickly.

What actually sells online (Rakuten daily skincare ranking, data date 10 Nov 2026)

Top positions mix domestic franchises (Attenir cleansing oil, 50,283 reviews; FANCL, 15,079), Shiseido's ELIXIR, a domestic D2C set brand (N organic) — and, at ranks 6–7, **Korean brands AESTURA (Amorepacific) and VT**, both EC-native and mid-priced (JPY 3,300 / 4,560). A domestic indie vitamin-C serum (Yunth) carries 45,427 reviews. Foreign entry via EC ranking is visible in a single day's chart.

Price gravity on Amazon.co.jp (archived bestseller copy, 25 Apr 2024 — structural reference only)

The lotion top 10 is a mass wall: Rohto's Hada Labo / Melano CC (from JPY 500), Naturie Hatomugi (JPY 350–400 for 500–1000 ml), MUJI (JPY 980), even an Amazon private-label ceramide lotion (JPY 900). Korean brands sit just outside (Anua #11, VT #16). As this copy is dated, it evidences the *structure* of the mass tier, not current ranks.

Recurring themes (qualitative, from sampled product pages and ranking metadata)

- **Ingredient literacy is the purchase language:** ceramide, vitamin C derivatives, retinol, azelaic-acid derivatives, PDRN and CICA headline the sampled winners across all three platforms.
- **Texture and layering fit** (non-sticky, absorbs fast, works under makeup) recur in top-ranked lotions' positioning; heavy or fragranced textures are a visible risk for Western-style creams.
- **Price-per-ml scrutiny:** refills and large formats dominate the mass tier; a JPY 3,000–6,000 entrant must justify its per-ml premium with a named ingredient and visible review proof.

SNS signals (X / Instagram / TikTok hashtag volumes) were scoped in the design but could not be collected systematically

within platform display constraints; they were downgraded to qualitative observation only and no SNS counts are quoted anywhere in this report. Review texts were summarised, never reproduced at length.

7 · Competitive landscape

The competitive wall is best understood as three bands. The matrix below uses only price, channel and consumer-signal evidence gathered for this report — competitor revenue figures are published for the listed groups but were not transcribed in this production run, so none are stated (see appendix, sheet "competitors").

Player	Band & price evidence	Position
Shiseido Group (ELIXIR, IPSA, d program)	Mid, JPY 1,210–6,600	The central obstacle. Owns the review-ranking top tier across price points and every channel from drugstore to department store. [L1+L2]
Kao (Curel, SOFINA)	Mass-sensitive, JPY 990–2,750	Owns the sensitive-skin niche; Curel is an @cosme Hall of Fame product. Hard to out-claim on gentleness. [L2]
Rohto (Hada Labo, Melano CC)	Mass medicated, JPY 500–1,500	Owns the Amazon/drugstore value wall with quasi-drug brightening franchises. [L2]
KOSÉ (DECORTÉ) / **P&G** (SK-II)	Prestige, JPY 8,800–29,150	Own the prestige tier and its review bases (18.7k / 40.4k). Not the entrant's arena. [L2]
Korean entrants (AESTURA, VT, Anua)	Mid, JPY 1,815–4,560	The proof case *and* the direct rival set: EC-first, ingredient-named (CICA, ceramide), already charting in Japan. Backed by the No. 1 import origin (KR imports +40.0% in 2024). [L1+L2]
Domestic indie D2C (TOUVER, Yunth, N organic, TAKAMI)	Mid, JPY 2,000–11,000	Ingredient-led domestic brands with subscription EC and large review bases (Yunth 45,427). They set the quality bar an overseas indie must match. [L2]

Where the gap is (Layer 1 × Layer 2 cross-read)

- **Open:** the JPY 3,000–6,000 ingredient-serum/cream slot sold EC-first. Imports of skincare/base-makeup are growing +20.1%, EC charts already admit foreign mid brands, and no sampled incumbent "owns" a non-Asian ingredient story in this band.
- **Contested:** brightening lotions (ELIXIR, Hada Labo Shirojyun, Melano CC all entrenched with quasi-drug claims a newcomer cannot immediately match).
- **Closed for this entrant:** sub-JPY 1,500 mass (cost structure), department-store prestige (organisation and capital), hair care (flat imports, domestic lock-in).

8 · Recommendation & next steps

Recommended entry position

- **Category:** skincare — one hero serum or cream with a single, nameable active story (the sampled winners are ingredient-named, not brand-named).
- **Price:** JPY 3,000–6,000 retail (≈USD 19–38) — above the mass wall, below prestige, aligned with where foreign mid brands already chart.
- **Channel:** EC first (own store + Rakuten Ichiba + Amazon.co.jp official stores), review accumulation as the explicit KPI; drugstore/variety-store approach in phase two, armed with EC sales and review evidence.
- **Message localisation:** texture (non-sticky, layering-compatible), fragrance restraint, and per-ml value justification are not optional refinements in this market; they are the purchase criteria visible in the consumer data.

Three hypotheses to validate before committing launch budget

- **H1 — Review cold-start cost:** what paid/earned volume is required to reach the ~1,000-review credibility threshold in the target sub-category within 6 months? (Test: small-batch EC pilot with tracked acquisition cost.)
- **H2 — Claims route:** does the hero SKU's efficacy story require quasi-drug (medicated) status to be sayable in Japanese advertising, and what does that route cost in time? (Test: regulatory counsel review — outside this report's scope.)
- **H3 — Price elasticity vs the K-beauty set:** at JPY 3,000–6,000, does the brand's differentiation survive a side-by-side with AESTURA/VT-class rivals on Rakuten? (Test: landing-page and price A/B in the pilot.)

Limitations & not-obtained items (complete list)

- FIES item-level cosmetics expenditure series — not extracted (classification revision reconciliation pending). No household cosmetics spending level/trend is claimed.
- Production Dynamics Statistics fine items (lotion/essence/mask/sunscreen series) — not extracted. No fine-item trend or seasonality figure is claimed.
- Economic Census cosmetics-only retail structure — not extracted (census merges cosmetics with pharmaceuticals at small-category level). Inbound survey cosmetics & perfumes values by nationality — not extracted; only the survey total is used.
- No official "cosmetics × e-commerce" sales series was confirmed to exist; EC evidence is Layer 2 sampling only.
- SNS quantitative signals — not collected (platform constraints); qualitative observation

only.

- Amazon.co.jp sample is an archived page copy dated 25 Apr 2024, used as structural evidence only.
- Competitor financials (segment sales) — publicly available for listed groups but not transcribed in this run; no competitor revenue is stated.
- Consumer-voice samples are platform samples, manually collected in limited numbers; they indicate direction, not population values.

Sources & methods

Layer 1 — official statistics and industry-association publications of official data

- [1] METI, Production Dynamics Statistics (cosmetics), via Japan Cosmetic Industry Association shipment statistics — https://jcia.org/user/statistics/shipment
- [2] METI, "Situation of the cosmetics manufacturing industry" (committee material) — https://www.meti.go.jp/shingikai/mono_info_service/cosmetic_industry/pdf/001_04_00.pdf
- [3] Ministry of Finance, Trade Statistics of Japan — cosmetics compilation by JCIA — https://jcia.org/user/statistics/trade
- [4] Japan Imported Cosmetics Association, FY2024 import results (released 10 Feb 2025) — reported at https://www.this.ne.jp/news/19015/
- [5] METI, Current Survey of Commerce — 2024 annual review; H1 2024 review; September 2024 monthly flash — https://www.meti.go.jp/statistics/toppage/report/archive/kako/20250610_1.html
- [6] Ministry of Internal Affairs and Communications, Family Income and Expenditure Survey — 2024 annual summary — https://www.stat.go.jp/data/kakei/sokuhou/tsuki/pdf/fies_gaikyo2024.pdf
- [7] Japan Tourism Agency, Inbound Consumption Trend Survey — https://www.mlit.go.jp/kankocho/tokei_hakusyo/gaikokujinshohidoko.html

Layer 2 — consumer-platform samples (manual sampling of public pages; no automated collection)

- [8] @cosme review ranking — lotions (aggregation period 5 Aug – 4 Nov 2026; updated 6 Nov 2026) and @cosme Shopping bestseller ranking — lotions — https://www.cosme.net/categories/item/902/ranking/ · https://www.cosme.com/products/ranking.php?category_id=59
- [9] Rakuten Ichiba daily ranking — skincare (data date 10 Nov 2026) — https://ranking.rakuten.co.jp/daily/100944/
- [10] Amazon.co.jp bestseller ranking — lotions (archived page copy dated 25 Apr 2024; structural reference only) — https://www.amazon.co.jp/gp/bestsellers/beauty/170092011

All sources accessed 12 November 2026 unless a different date is stated. Full machine-readable records are in the accompanying data appendix (audit_data_appendix.xlsx). Methods: Layer 1 figures are transcribed without modification; the only derived figure (2023 shipments as a share of the 2019 peak) is flagged as derived wherever used. Layer 2 samples record platform, sample frame, displayed rank, rating, review count and price as displayed on the access date; where a displayed rank could not be read unambiguously (Rakuten positions 5 and 10 in text view; one @cosme rank differing between category and product pages), this is noted in the appendix rather than resolved by assumption. Review texts were summarised thematically, not reproduced.

Scope & disclaimer

Scope & disclaimer. This report is a market research document based on publicly available statistics and publicly visible consumer data as of the access dates stated. It is not legal, regulatory, tax, or investment advice. Cosmetics sold in Japan are subject to regulation under the Act on Securing Quality, Efficacy and Safety of Products Including Pharmaceuticals and Medical Devices (PMD Act), including product classification (cosmetics / quasi-drugs), licensing, ingredient and labeling rules. Regulatory feasibility must be confirmed with qualified Japanese counsel or the relevant authorities before market entry. Figures drawn from government statistics follow the definitions of each source (e.g., factory shipment value is not retail market size); consumer-voice data are samples from specific platforms and are not statistically representative of all Japanese consumers. Sample report: prepared with a hypothetical entrant profile for demonstration; figures are from the real sources cited.

Prepared as Sample 03 of a sourced-quantitative-report portfolio. Research and drafting assisted by AI tools; all figures were checked against the cited sources at the access dates above.